But while US analysts in 1973 believed that though India was still suspicious of the Chinese-Nepalese relationship, it seemed to have arrived at the realistic conclusion that with its established ties to Nepal and increasing Nepalese national unity, the relatively small Chinese presence in Nepal would not harm India, given India's ability to apply pressure with more overt support for democratic forces like the Nepali Congress, as well as the possibility of economic warfare. However, Nepal's silent support to Pakistan was an area that even US officials believed could harm the IndoNepalese relationship. A former Nepalese minister informed US diplomats that a top level Indian official had warned him that if any Chinese military unit was ever invited to Nepal, the Indian army would occupy Nepal. This was the time when the vast majority of Nepalese Congress leaders, including B.P. Koirala, Nepal's first democratically elected prime minister, lived in exile in India and were planning a violent revolution to re-establish democratic rules. India had maintained that it would never force these leaders away from the country because of its strong belief in the parliamentary democracy.

Pakistan's presence in Nepal worried India. The memories of Partition were alive and haunting and the distrust between the two countries had been born the day the British decided to divide India. Though Pakistan fought and lost many wars against India on battlefields, they also used proxy means to hurt their neighbour, such as raising and sponsoring an army of terrorists. Pakistan's penetration in Nepal was further deepened by its president, Muhammad Zia-ul-Haq.

After Zia-ul-Haq's death in August 1988, ISI chief General Hamid Gul continued the ISI's secret meetings in the royal palace of King Birendra. The R&AW informed the Indian